Money Laundering and Financial Crime

Complete Tutorial Guide All Topics

Step-by-Step Learning for Every Subject

Compliance Training Department

TUTORIAL 1: Mainland China AML Regulations

Topic: AFC Regulations and Regimes

Mainland China's AML regulations have specific features that are important for compliance professionals to understand.

Step 1: Understand the scope of China's AML regulations. They have evolved to address modern financial crime challenges.
Step 2: Learn the key features. Two important features are:
(1) **Provisions restricting excessive risk measures**
(2) **Extraterritoriality application**
Step 3: Understand why these features matter.
- Excessive risk measures: Prevents overreach that could harm legitimate business
- Extraterritoriality: China can enforce AML rules on activities outside its borders
Step 4: See what is NOT a feature. **Exemption for cryptocurrency activities** is incorrect China has strict crypto regulations.
Step 5: Apply the lesson. China's AML regime includes restrictions on excessive measures and extraterritorial application.

CORE LESSON: China's AML regulations include provisions restricting excessive risk measures and extraterritoriality application.

TUTORIAL 2: Trade-Based Money Laundering Failures

Topic: Trade Finance Compliance

Financial institutions can receive fines for inadequate transaction monitoring. Understanding the specific weaknesses is essential.

Step 1: Understand the scenario. A UK financial institution receives a regulatory fine for inadequate transaction monitoring tied to trade-based money laundering.
Step 2: Recognize the weakness that contributed. The weakness was **failure to recognize high-risk typologies within client sectors**.
Step 3: Understand why this is a weakness.
- Different sectors have different TBML typologies
- Failing to recognize them means missing suspicious activity
- Regulators expect sector-specific knowledge

Step 4: Apply the lesson. Institutions must understand and monitor for TBML typologies specific to their client sectors.

CORE LESSON: TBML fines often result from failure to recognize high-risk typologies within specific client sectors.

TUTORIAL 3: Inclusive Banking Practices

Topic: Financial Inclusion

Inclusive banking strategies help reach underserved populations while maintaining compliance.

Step 1: Understand the goal of inclusive banking. It aims to bring more people into the formal financial system.
Step 2: Learn the practices that support inclusion. Two key practices are:
(1) **Offering multilingual customer support options**
(2) **Developing mobile apps with offline functionality**
Step 3: Understand why these support inclusion.
- Multilingual support: Reaches diverse populations
- Offline functionality: Reaches areas with poor connectivity
Step 4: Apply the lesson. Inclusive banking removes barriers to access through language and technology.

CORE LESSON: Inclusive banking practices include multilingual support and mobile apps with offline functionality.

TUTORIAL 4: Digital Operational Resilience Act

Topic: DORA Requirements

The Digital Operational Resilience Act (DORA) requires financial entities to test their ICT systems.

Step 1: Understand what DORA is. It is an EU regulation focused on ICT resilience in financial services.
Step 2: Learn the testing requirement. DORA requires advanced testing **to detect potential vulnerabilities and assess system defenses before incidents occur**.
Step 3: Understand why this matters.
- Proactive testing finds weaknesses before attackers do
- Assessment of defenses ensures they are effective
- Prevention is better than response

Step 4: Apply the lesson. DORA emphasizes proactive vulnerability detection through advanced testing.

CORE LESSON: DORA requires advanced ICT testing to detect vulnerabilities and assess defenses before incidents occur.

TUTORIAL 5: UK Bribery Act vs US FCPA

Topic: Anti-Corruption Laws

The UK Bribery Act 2010 and the US Foreign Corrupt Practices Act (FCPA) are key anti-corruption laws with important differences.

Step 1: Understand the UK Bribery Act. It is considered one of the toughest anti-bribery laws in the world.
Step 2: Learn the key distinction. **The UK Bribery Act 2010 prohibits facilitation payments made to officials**.
Step 3: Compare to the FCPA. The FCPA has a defense for facilitation payments (small payments to speed routine government actions). The UK Bribery Act does not.
Step 4: Understand the implication.
- UK Bribery Act: No facilitation payments allowed
- FCPA: Facilitation payments may be allowed
Step 5: Apply the lesson. The UK Bribery Act is stricter than the FCPA it prohibits all facilitation payments.

CORE LESSON: The UK Bribery Act prohibits facilitation payments, making it stricter than the FCPA.

TUTORIAL 6: Batch Screening and Risk Changes

Topic: Sanctions Screening

When a customer is flagged in a sanctions list and adverse media, the risk profile has changed and action is required.

Step 1: Understand the scenario. A customer previously categorized as low risk is now simultaneously flagged in a recent sanctions list and associated with adverse media coverage.
Step 2: Recognize what has happened. The customer's risk profile has **fundamentally changed**. Two red flags have appeared.
Step 3: Understand the required response. The institution must:
- Investigate the sanctions alert
- Review the adverse media
- Reassess the customer risk
- Consider filing a SAR if suspicious

Step 4: Apply the lesson. When a customer is flagged in sanctions and adverse media, immediate investigation and reassessment are required.

CORE LESSON: When a customer is flagged in sanctions lists and adverse media, the risk profile has changed and immediate investigation is required.

TUTORIAL 7: EU AML Regulatory Challenges

Topic: EU AML Framework

The EU AML framework faces specific challenges in implementation across member states.

Step 1: Understand the EU framework. EU AML directives set minimum standards that member states must implement.
Step 2: Recognize the challenges. Three key challenges are:
(1) **Fragmented supervision of cross-border financial activity**
(2) **Lack of cooperation among regulatory authorities**
(3) **Gaps in transposition of directives into national law**
Step 3: Understand why these are challenges.
- Fragmented supervision: No single oversight body
- Lack of cooperation: Information doesn't flow across borders
- Transposition gaps: Different countries implement differently
Step 4: Apply the lesson. The EU AML framework is weakened by fragmentation, lack of cooperation, and implementation gaps.

CORE LESSON: EU AML challenges include fragmented supervision, lack of regulatory cooperation, and gaps in directive transposition.

TUTORIAL 8: AMLR and 6AMLD Extensions

Topic: EU AML Directives

The AMLR and 6AMLD extended AML obligations to new types of entities and professionals.

Step 1: Understand what AMLR and 6AMLD are. They are EU AML regulations that expanded the scope of AML obligations.
Step 2: Learn the entities covered. Two key extensions are:
(1) **Cryptoasset service providers**
(2) **Soccer agents**
Step 3: Understand why these were added.
- Cryptoasset providers: Emerging risk area
- Soccer agents: High-value transfers, potential for laundering
Step 4: Apply the lesson. AML obligations now extend to cryptoasset providers and soccer agents.

CORE LESSON: AMLR and 6AMLD extended AML obligations to cryptoasset service providers and soccer agents.

TUTORIAL 9: Foreign Embassy Account Risk Assessment

Topic: DNFBP Embassy Accounts

Accounts held by foreign embassies and missions present specific AML risks that require ongoing monitoring.

Step 1: Understand the risk. Embassy accounts can be used for money laundering or terrorist financing.
Step 2: Learn the actions for ongoing risk evaluation. Three key actions are:
(1) **Monitor transaction volume and compare it with the entity's stated purpose**
(2) **Review account activity periodically for evidence of third-party or private use**
(3) **Require clarification if funds appear to originate from or are sent to sanctioned jurisdictions**
Step 3: Understand why these are important.
- Volume monitoring: Identifies unusual activity
- Third-party review: Prevents misuse
- Sanction checks: Ensures compliance
Step 4: Apply the lesson. Embassy accounts require ongoing monitoring of volume, third-party use, and sanctions exposure.

CORE LESSON: Evaluate embassy account risk through volume monitoring, third-party use review, and sanctions jurisdiction checks.

TUTORIAL 10: Trade-Based Misclassification

Topic: Trade-Based Money Laundering

Misclassification of goods in Free-Trade Zones is a common money laundering tactic.

Step 1: Understand the scenario. A logistics firm operating out of an FTZ lists pharmaceuticals as incoming cargo but later categorizes outbound goods as shoes.
Step 2: Recognize the tactic. This is **trade-based misclassification masking value movement**.
Step 3: Understand how it works.
- Incoming: Pharmaceuticals (high value)
- Outbound: Shoes (lower value)
- The difference in value is moved illicitly

Step 4: See why this is effective.
- Changes product classification
- Changes value
- Moves money without detection

Step 5: Apply the lesson. Goods misclassification in FTZs is a red flag for trade-based laundering.

CORE LESSON: Trade-based misclassification changing product categorization masks value movement and facilitates laundering.

TUTORIAL 11: Effective Blockchain Analytics

Topic: Cryptoasset Compliance

Effective blockchain analytics for compliance requires specific features to identify and monitor risk.

Step 1: Understand the need for blockchain analytics. Cryptoassets require specialized monitoring.
Step 2: Learn the characteristics of effective analytics. Three key characteristics are:
(1) **Coverage across all major blockchains**
(2) **Integration with robust entity resolution tools**
(3) **Broad alerting functionality for potential risk behaviors**
Step 3: Understand why these matter.
- Coverage: All blockchain data
- Entity resolution: Connects addresses to identities
- Alerting: Detects suspicious behavior
Step 4: Apply the lesson. Effective blockchain analytics requires comprehensive coverage, entity resolution, and alerting.

CORE LESSON: Effective blockchain analytics requires coverage across blockchains, entity resolution integration, and broad alerting.

TUTORIAL 12: Payment Service Provider Risks

Topic: Payment Service Providers

Payment service providers face specific AML risks that must be managed.

Step 1: Understand the PSP risk environment. PSPs process large volumes of transactions for many customers.
Step 2: Learn the relevant risks. Two key risks are:
(1) **Risk from operating in jurisdictions with limited regulatory oversight**
(2) **Risk of facilitating fraudulent transactions**
Step 3: Understand why these are relevant.
- Limited oversight: Weak AML controls
- Fraud facilitation: PSPs can be unwitting conduits
Step 4: Apply the lesson. PSPs must manage jurisdictional risk and fraud facilitation risk.

CORE LESSON: Payment service providers must manage risks from operating in weak oversight jurisdictions and facilitating fraud.

TUTORIAL 13: NFT Layering

Topic: Digital Assets and Laundering

NFTs can be used for money laundering layering through inflated and inconsistent pricing.

Step 1: Understand the scenario. A user repeatedly buys digital art NFTs with stablecoin and resells them at inflated and inconsistent prices.
Step 2: Recognize the suspicion. The user is **using NFTs to layer illicit funds**.
Step 3: Understand how it works.
- Buy NFT with illicit funds
- Sell NFT at inflated price
- Receive "clean" proceeds

Step 4: See why this is layering.
- NFT sale appears legitimate
- Price manipulation hides the source
- Funds appear clean

Step 5: Apply the lesson. Inflated and inconsistent NFT pricing is a red flag for layering.

CORE LESSON: Inflated NFT prices and inconsistent pricing suggest layering of illicit funds through digital art transactions.

TUTORIAL 14: MSB Agent Network Risk

Topic: Money Service Businesses

An MSB's agent network influences its operational and geographic risk exposure.

Step 1: Understand the scenario. An onboarding questionnaire asks about an MSB's relationships with third-party agents.
Step 2: Recognize why this is critical. **The MSB's agent network could influence both operational and geographic risk exposure**.
Step 3: Understand the risk.
- Agents may have weak controls
- Agents may be in high-risk locations
- The MSB is responsible for agents

Step 4: Apply the lesson. MSB agent networks must be assessed because they create operational and geographic risk.

CORE LESSON: MSB agent networks influence operational and geographic risk exposure and must be assessed.

TUTORIAL 15: Over/Under-Invoicing

Topic: Trade-Based Laundering

Vastly different pricing for identical cargo is a strong indicator of over/under-invoicing.

Step 1: Understand the scenario. A freight forwarder reports shipping clients declaring identical cargo with identical weight but with vastly different pricing across invoices.
Step 2: Recognize the risk. This is **over/under-invoicing to obscure monetary transfers**.
Step 3: Understand how it works.
- Same goods, different prices
- Over-invoice: Move money out
- Under-invoice: Move money in

Step 4: Apply the lesson. Different prices for identical goods is a red flag for trade-based money laundering.

CORE LESSON: Vastly different pricing for identical cargo indicates over/under-invoicing to obscure monetary transfers.

TUTORIAL 16: Law Firm UBO Disclosure

Topic: Legal Sector CDD

Law firms must decline services when clients refuse to disclose beneficial ownership information.

Step 1: Understand the scenario. A client asks a law firm to incorporate a company in a low-transparency country and requests nominee shareholders. The client refuses to disclose beneficiary identity.
Step 2: Recognize the red flags.
- Low-transparency jurisdiction
- Nominee shareholders
- Refusal to disclose UBO

Step 3: Understand the correct action. The firm should **decline the service due to insufficient CDD and refusal to disclose UBO**.
Step 4: Apply the lesson. Law firms must decline services when clients refuse to provide beneficial ownership information.

CORE LESSON: Law firms must decline services when clients refuse to disclose beneficial ownership CDD is mandatory.

TUTORIAL 17: Dual-Use Export Controls

Topic: Export Controls and Sanctions

Dual-use goods require careful screening, especially when destined for sanctioned countries.

Step 1: Understand the scenario. A shipper is contracted to deliver radar components to a foreign government's defense ministry. The goods are dual-use and the destination country is under partial EU sanctions.
Step 2: Recognize the compliance requirement. The shipper should **suspend delivery and initiate an export control and sanctions screening**.
Step 3: Understand why this is required.
- Dual-use goods: Can be used for military purposes
- Sanctions: Restrictions on the destination
Step 4: Apply the lesson. Dual-use goods to sanctioned destinations require export control and sanctions screening.

CORE LESSON: Dual-use goods to sanctioned destinations require suspending delivery and initiating export control and sanctions screening.

TUTORIAL 18: Law Firm Suspicious Transaction Reporting

Topic: Legal Sector Reporting

Law firms must file suspicious transaction reports when transactions appear unusual.

Step 1: Understand the scenario. A Canadian law firm delivers real estate closing services to foreign clients. One client insists proceeds should be paid to a foreign third party unrelated to the transaction.
Step 2: Recognize the red flag. Payment to an unrelated third party is unusual and suspicious.
Step 3: Understand the correct action. The firm should **file a Suspicious Transaction Report and delay the transaction**.
Step 4: Apply the lesson. Law firms must file STRs and delay transactions when third-party payments are requested without justification.

CORE LESSON: Law firms must file STRs and delay transactions when clients request payment to unrelated third parties.

TUTORIAL 19: Responding to FIU Guidance

Topic: Guidance Implementation

When FIUs issue guidance on emerging risks, institutions should assess their exposure and update risk assessments.

Step 1: Understand the scenario. An FIU policy paper identifies that a regional real estate product has become associated with fraud networks.
Step 2: Recognize the correct response. The institution should **assess internal risk exposure and update the EWRA accordingly**.
Step 3: Understand why immediate suspension is not correct.
- Immediate suspension is reactive and may not be necessary
- Assessment first: Understand the exposure
- Then decide on controls

Step 4: Apply the lesson. Respond to FIU guidance by assessing risk and updating the enterprise-wide risk assessment.

CORE LESSON: Respond to FIU guidance by assessing internal risk exposure and updating the EWRA before implementing controls.

TUTORIAL 20: Guidance Document Implementation Impacts

Topic: Guidance Implementation

Implementing guidance documents has specific impacts that organizations must consider.

Step 1: Understand the importance of considering impacts. Guidance implementation affects multiple areas of the organization.
Step 2: Learn the important impacts to consider. Three key impacts are:
(1) **Customer experience degradation**
(2) **Control redundancy overlaps**
(3) **Resource impacts related to IT and compliance functions**
Step 3: Understand why these matter.
- Customer experience: Can affect business
- Control redundancy: Creates inefficiency
- Resource impacts: Budget and staffing
Step 4: Apply the lesson. Consider customer experience, control overlaps, and resource impacts when implementing guidance.

CORE LESSON: Guidance implementation impacts include customer experience degradation, control redundancy overlaps, and resource impacts.

TUTORIAL 21: Effective Use of AFC Guidance

Topic: Guidance Effectiveness

Effective use of AFC guidance documents strengthens compliance programs.

Step 1: Understand the purpose of AFC guidance documents. They provide direction on implementing AML/CFT controls.
Step 2: Recognize outcomes of effective use. Effective use results in:
- Consistent application of controls
- Alignment with regulatory expectations
- Demonstrated compliance

Step 3: Understand why effectiveness matters.
- Regulators expect guidance to be followed
- Effective implementation reduces risk
- It demonstrates good governance

Step 4: Apply the lesson. Effective guidance implementation results in consistent, aligned, and demonstrable compliance.

CORE LESSON: Effective use of AFC guidance documents results in consistent, aligned, and demonstrable compliance.

TUTORIAL 22: Legal Sector Risk Mitigation

Topic: Legal Sector AML

The legal sector faces specific AML risks that require targeted mitigation approaches.

Step 1: Understand the risks in the legal sector. Lawyers handle client money and facilitate transactions.
Step 2: Learn the effective mitigation approaches. Two key approaches are:
(1) **Maintaining strong internal training programs on typologies and reporting**
(2) **Restricting involvement in escrow arrangements unless risk-assessed**
Step 3: Understand why these are effective.
- Training: Builds awareness and skills
- Escrow restrictions: Prevents high-risk activity
Step 4: Apply the lesson. Legal sector risk mitigation requires training and risk assessment of escrow services.

CORE LESSON: Legal sector risk mitigation includes strong training programs and risk-assessed escrow involvement.

TUTORIAL 23: PEP Using Indirect Ownership

Topic: Politically Exposed Persons

PEPs using indirect ownership intermediaries present significant AML concerns.

Step 1: Understand the concern. A buyer is a PEP using indirect ownership intermediaries.
Step 2: Recognize why this is concerning.
- PEPs are high-risk
- Indirect ownership hides the connection
- Intermediaries complicate due diligence

Step 3: Understand the AML perspective.
- PEPs require enhanced due diligence
- Indirect ownership makes it harder
- Risk of corruption is higher

Step 4: Apply the lesson. PEPs using indirect ownership intermediaries require enhanced scrutiny.

CORE LESSON: PEPs using indirect ownership intermediaries present a significant AML concern requiring enhanced due diligence.

SUMMARY: Key Lessons from All Topics

What We Have Learned:

1. **China AML:** Restrictions on excessive risk measures, extraterritoriality.
2. **UK TBML Failure:** Failure to recognize high-risk typologies in sectors.
3. **Inclusive Banking:** Multilingual support, offline mobile apps.
4. **DORA:** Advanced ICT testing to detect vulnerabilities.
5. **UK Bribery Act:** Prohibits facilitation payments.
6. **Batch Screening:** Sanctions + adverse media = immediate investigation.
7. **EU Challenges:** Fragmented supervision, lack of cooperation, transposition gaps.
8. **AMLR/6AMLD:** Extended to cryptoasset providers and soccer agents.
9. **Embassy Accounts:** Monitor volume, third-party use, sanctions jurisdictions.
10. **Trade Misclassification:** Goods misclassification masks value movement.
11. **Blockchain Analytics:** Coverage, entity resolution, alerting.
12. **PSP Risks:** Limited oversight jurisdictions, fraud facilitation.
13. **NFT Layering:** Inflated and inconsistent pricing.
14. **MSB Agents:** Operational and geographic risk exposure.
15. **Over/Under-Invoicing:** Different pricing for identical goods.
16. **Law Firm UBO:** Decline when UBO disclosure is refused.
17. **Dual-Use Goods:** Suspended delivery and sanctions screening.
18. **Law Firm STR:** File STR and delay for third-party payments.
19. **FIU Guidance:** Assess exposure and update EWRA.

Thank You

Keep learning. Keep growing.

Compliance is not about perfection it is about continuous improvement. End of Tutorial